year, and Meta has cut more than 11,000 jobs. Twitter culled half of its 7,500-person workforce a little over a week after Elon Musk, the new owner, completed his blockbuster buyout last year. The social media service has reportedly fired over 90 per cent of its India staff, from around 200 to barely a dozen, say reports.

To understand the true magnitude of India's jobs issue, one also needs to examine the structure of employment in India. India's total working age population is estimated to be a billion. Of this, 410 million, or 41 per cent, are employed. Among these, 46 per cent are engaged in agriculture, 21 per cent in industry, and 32 per cent in the services sector. That agriculture continues to be the main source of livelihood in India is a cause for worry because it contributes only 20 per cent to the GDP, while industry and services contribute 26 per cent and 54 per cent, respectively. There should, therefore, be a clear shift away from agriculture towards industry and services in terms of job generation. But this hasn't happened at the speed that it should have under successive governments across the decades. And this as the country adds 12 million new entrants every year to the workforce. The total number of India's unemployed stood at 33 million in December.

What is also unique about the Indian situation is that despite the growth in the private sector, government jobs remain the most coveted for India's youth given the job security, assured salary and prestige they provide. An estimated 20 million people or two per cent of India's 1 billion-strong workforce are employed in government jobs, both at the Centre and in the states. This is still way below China where 39 million or 4.6 per cent of the workforce are employed by the government. Or the US where 10.9 million or 6.9 per cent of the workforce have jobs in either federal or state institutions. However, there were an estimated six million vacancies in government jobs in India last year, per media reports. Last October, the PM Modi launched an online 'Rozgar Mela' (jobs fair), the aim being to provide jobs to one million people, mostly by filling up existing vacancies in government jobs. However, given the magnitude of the problem, band-aid solutions may not be enough. That's where Budget 2023 kicks in.



"THERE IS NO DIRECT FOCUS ON JOBS, BUT THE SPILLOVER EFFECT CAN CREATE MORE JOBS. THE FOCUS ON SKILLING IS FINE, BUT IT MUST BE PROPERLY EXECUTED"

—D.K. JOSHI
Chief Economist, Crisil



"THE INCENTIVES TO COOPERATIVES WILL EASE THE LIVES OF PRIMARY AGRICULTURE CO-OPS, RAISING RURAL INCOMES, ADDING JOBS AND REDUCING MIGRATION"

—SATISH MARATHE
Founder, Sahkar Bharti & Director on RBI's board



"THE INCENTIVES TO AGRI START-UPs AND ONES USING NEW-AGE TECH ARE ENCOURAGING. THE BUDGET ADDRESSES INDIA'S UNIQUE CHALLENGES ON THE JOBS FRONT"

—ASHWANI MAHAJAN
National Co-convenor, Swadeshi Jagran Manch

PROMISE OF BUDGET 2023

Always a grand votary of 'atmanirbharta', the Modi government has in Budget 2023 cut down on further doles for the unemployed, and instead pushed for investments to generate growth and jobs. In rural areas, it has tapered off the massive funding it gave to the Mahatma Gandhi National Rural Employment Guarantee Act (MNREGA) from Rs 73,000 crore in 2022-23 to Rs 60,000 crore in Budget 2023. In its place, it has significantly pumped up capex—by a third, from Rs 7.5 lakh crore in 2022-23 to Rs 10 lakh crore for FY24, amounting to 3.3 per cent of GDP and almost thrice the outlay in 2019-20. "The Rs 10 lakh crore capital expenditure by the Centre, added to the Rs 3.7 lakh crore grant-in-aid to the states, would mean an effective capex of Rs 13.7 lakh crore, which comes to 4.5 per cent of the GDP. This will be a big job creator," says Vinayak Chatterjee, chairman, Feedback Infra.

This includes a big hike in funds for the National Highways Authority of India (NHAI), from Rs 1.34 lakh crore to Rs 1.62 lakh crore, besides Rs 75,000 crore for 100 critical transport infrastructure projects that promise to provide end-to-end connectivity for the ports, coals, steel, fertilisers and foodgrain sectors. Funds have also been set aside to construct 50 additional airports, heliports and water aerodromes. Railways has been allocated the highest-ever capital outlay of Rs 2.4 lakh crore, an increase of 70 per cent from the Rs 1.37 lakh crore allocated last year. This is to be spent on various projects, including 500 new Vande Bharat trains and the redevelopment of over 1,275 stations. Such a massive fund infusion into the transport sector is likely to give employment to millions of blue-collar workers.

The construction sector, which provides close to 50 per cent of the jobs in industry, has also got a massive dose of investment in Budget 2023. Funds for the Pradhan Mantri Awas Yojana (PMAY), whose mission is to build 12 million houses for the needy in urban areas, went up from Rs 48,000 crore to Rs 79,500 crore, an increase of 66 per cent. Niranjan Hiranandani, co-founder and MD of the Hiranandani Group, says that in addition to